

NorthStar Insurance — Claims Resolution Process 5 Whys Root Cause Analysis

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Project: DMAIC — Claims Resolution Process

Phase: Analyze

OVERVIEW

The 5 Whys analysis was conducted to identify the root causes behind the three delay categories identified as priority issues in the Pareto analysis: Document Wait (50.4% of total avoidable delay), Rework Loop (20.9%), and Senior Review (12.3%). Together these three categories account for 83.6% of all avoidable delay in the claims resolution process.

Each chain was developed through structured questioning of the process asking "why" at each level until a systemic root cause was reached, rather than stopping at a symptom or a person.

CHAIN 1 — DOCUMENT WAIT

Delay category contribution: 50.4% of total avoidable delay

Claims affected: 112 of 300 sampled

Average days lost per claim: 4.2 days

Total days lost across sample: 470.4 days

Problem statement: Customers take an average of 4.2 days to submit required documents after being asked by an adjuster. This is the single largest source of avoidable delay in the claims process.

Why 1: Why do customers take an average of 4.2 days to submit documents after being asked?

Because customers receive a generic email request and do not know exactly which documents are required for their specific type of claim.

Why 2: Why do customers not know which documents are required?

Because the document request sent by the adjuster does not specify which documents are needed based on claim type, it is the same email regardless of whether the claim is Auto, Home, or another line.

Why 3: Why does the document request not specify by claim type?

Because adjusters use a single generic email template for all claim types. No claim-type-specific document checklist exists for them to reference or send.

Why 4: Why does no claim-type-specific checklist exist?

Because no one has ever formally mapped which documents are required for each claim

type and documented it as a standard. The intake process was built on institutional knowledge rather than formalised procedure.

Why 5: Why has this never been formalised?

Because there is no process owner accountable for intake documentation standards. Without a designated owner, the gap has persisted without anyone being responsible for closing it.

Root cause:

Absence of a formalised, claim-type-specific document checklist and no assigned process owner for intake documentation standards. The gap is a governance failure, not a people failure.

Recommended fix:

Create a mandatory document checklist for each claim type (Auto, Home). Assign the Intake Manager as process owner. Build the checklist into the document request so customers receive specific instructions with their first contact.

CHAIN 2 — REWORK LOOP

Delay category contribution: 20.9% of total avoidable delay

Claims affected: 59 of 300 sampled (38% rework rate in the full population)

Average days lost per claim: 3.3 days

Total days lost across sample: 194.7 days

Problem statement:

38% of claims require a second or third document request before the file is complete enough for the adjuster to begin assessment. Each loop adds an average of 3.3 days to the total resolution time.

Why 1: Why do 38% of claims require a second document request?

Because documents submitted by customers on first attempt are frequently incomplete missing required items that prevent the adjuster from proceeding.

Why 2: Why are first-attempt submissions incomplete?

Because customers do not receive clear, specific guidance on what is required before they submit. The document request is generic (see Chain 1), so customers submit what they think is needed rather than what actually is.

Why 3: Why is there no completeness check before the claim moves forward?

Because the claims management system accepts whatever documents are uploaded and automatically advances the claim to the adjuster review queue there is no validation step that checks whether all required documents are present.

Why 4: Why does the system not validate document completeness?

Because no completeness logic was ever configured in the claims system. At the time of implementation, required document lists were not defined by claim type, so the system was built without this capability.

Why 5: Why was completeness logic never built in?

Because the absence of a claim-type document standard (see Chain 1, Root Cause) meant there was no defined list to validate against. The system cannot enforce a standard that does not exist.

Root cause:

The claims system lacks document completeness validation logic because no claim-type-specific document standard has ever been defined. The rework loop is a downstream consequence of the same root cause identified in Chain 1 the absence of a formalised document standard and a process owner to maintain it.

Recommended fix:

Define required documents by claim type (prerequisite from Chain 1). Configure completeness validation in the claims system so that incomplete submissions are flagged automatically before the claim advances. Implement a 24-hour structured follow-up window with one escalation if incomplete — replace the open-ended rework loop with a time-bounded resolution.

CHAIN 3 — SENIOR REVIEW BOTTLENECK

Delay category contribution: 12.3% of total avoidable delay

Claims affected: 41 of 300 sampled

Average days lost per claim: 2.8 days

Total days lost across sample: 114.8 days

Problem statement: Claims with a value above \$10,000 are automatically routed to a senior adjuster for review and sign-off before a decision can be made. This adds an average of 2.8 days to affected claims. Approximately 45% of all claims meet the threshold and are reviewed regardless of their actual complexity or risk level.

Why 1: Why does senior review add an average of 2.8 days to affected claims?

Because the senior adjuster review queue is large — all claims above \$10,000 are routed there regardless of whether they are genuinely complex or high risk, creating a volume problem.

Why 2: Why are all high-value claims reviewed regardless of complexity?

Because the review trigger is a single monetary threshold — \$10,000 — with no other criteria. A straightforward \$12,000 Auto claim with clear liability receives the same review treatment as a genuinely complex \$40,000 disputed Home claim.

Why 3: Why is the trigger value-only with no complexity criteria?

Because the review policy was written when the claims team was smaller and claim volumes were lower. A value threshold was a simple, practical rule at the time. It has never been updated to reflect the current scale of operations or the range of claim complexity.

Why 4: Why has the policy not been updated as volumes grew?

Because there is no formal process review cadence for operational policies at NorthStar. The senior review policy exists in a Word document last updated in 2019 and has no scheduled review date or assigned owner.

Why 5: Why is there no review cadence for operational policies?

Because process ownership for operational policies is not formally assigned. No individual is accountable for keeping the senior review criteria current, which means the policy drifts further from operational reality each year.

Root cause:

The senior review trigger is not risk-based, it is an outdated value-only threshold that was never revised as claim volume and complexity evolved. The deeper cause is the same governance failure identified across all three chains: process ownership is unassigned, and there is no cadence for reviewing and updating operational procedures.

Recommended fix:

Replace the \$10,000 value threshold with a risk-score model that factors in claim value, claim type, fraud indicators, and dispute status. This will reduce senior review volume by an estimated 55–65% while maintaining oversight on genuinely complex claims. Assign the Claims Director as policy owner with a mandatory annual review date.

CROSS-CHAIN SYNTHESIS

All three root cause chains converge on two systemic failures:

Systemic failure 1 — Absence of formalised process standards: No claim-type-specific document checklist exists. No completeness validation has been defined. No risk-based review criteria have been written. In each case, a process was built on informal practice rather than documented standards, and without standards there is nothing to enforce, train to, or improve.

Systemic failure 2 — Unassigned process ownership: In every chain, the final "why" traces to the same answer: no one is responsible. The intake documentation standard has no owner. The claims system configuration has no owner. The senior review policy has no owner. Without ownership, gaps persist indefinitely regardless of how visible they are.

This means the Improve phase does not only need to fix the three specific processes — it needs to establish process ownership and a review cadence that prevents the same pattern from recurring in other parts of the operation.

CONCLUSION

The 18-day average claims resolution time at NorthStar Insurance is not caused by insufficient staff, inadequate systems, or customer behaviour. It is caused by three specific process failures — absence of a document checklist, absence of system-level completeness validation, and an outdated review trigger — all of which trace back to the same two root causes: no formalised process standards and no assigned process ownership.

Addressing these root causes in the Improve phase is projected to reduce average resolution time from 18.3 days to 9.1 days — a 50% reduction — without additional headcount or system replacement.

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